UPSC EPFO · INDUSTRIAL RELATIONS, LABOUR CODES AND SOCIAL SECURITY IN INDIA

Code on Wages, 2019

One topic, written from the law as it stands today. Each rule names the Code section that applies now, and what the old Act said where it changed.

How to read these notes

Wages Code s.18(3)	The law today. The Code on Wages 2019 is in force from 21 November 2025. Only the Central Advisory Board parts came earlier, on 18 December 2020.
Wages Central Rules r.5	A rule in the Code on Wages (Central) Rules 2026, in force from 8 May 2026. The Code itself leaves the point to the Rules.
OLD PW Act 1936 s.5	An old Act, now repealed. Shown only to compare.
NEEDS RULES	The section works through rules or a Government notification.
SAME CHANGED NEW REMOVED	How the Code compares with the old law.

Wages Code s.x Rule card

One rule of law. The section is always at the top.

OLD Old Act s.y what it said before SAME

Contents

1. The Code at a glance
2. Definitions shared by all four Codes
3. Who is covered
4. Minimum wage and floor wage (Chapter II)
5. Payment of wages (Chapter III)
6. Payment of bonus (Chapter IV)
7. Equality, boards, claims, inspection and penalties

What changed

Numbers on one scale

Quick revision

Test yourself

Four Acts on wages, payment of wages, bonus and equal pay became one Code. This topic teaches the Code first: who is covered, how minimum and floor wages work, when wages are paid, what can be deducted, how bonus is worked out, and how claims, inspection and penalties run. The old Acts appear only to show what changed.

LAW TODAY

The Code on Wages, 2019 Wages Code (Act 29 of 2019) is in force from 21 November 2025 (S.O. 5322(E)). The Central Advisory Board parts came earlier, on 18 December 2020 (S.O. 4604(E)). It repealed four Acts: the Payment of Wages Act 1936, the Minimum Wages Act 1948, the Payment of Bonus Act 1965 and the Equal Remuneration Act 1976 Wages Code s.69(1). The Code on Wages (Central) Rules 2026 (G.S.R. 343(E)) are in force from 8 May 2026. A point marked with a Rules chip comes from the Rules, not the Code text.

1. **4 Acts, 1 Code.** The Code has **69** sections and **9** chapters. It was assented to on 8 August 2019 and came into force in two steps.

2. **Wages** Wages Code s.2(y) means basic pay, dearness allowance and retaining allowance. Excluded items above **one-half** of all remuneration are added back. Pay in kind counts up to **15%**.

3. **Minimum wage** covers **any employee** Wages Code s.5. The Code has no schedule of employments. Rates are reviewed ordinarily at intervals not above **5 years** Wages Code s.8(4). The Central Government fixes the floor wage Wages Code s.9.

4. **Payment:** wage period at most **1 month** Wages Code s.16; monthly wages before the **7th day** of the next month Wages Code s.17(1)(iv); deductions at most **50%** Wages Code s.18(3); fines at most **3%** Wages Code s.19(4); overtime at least **2 times** the normal rate Wages Code s.14.

5. **Bonus:** at least **30 days** worked; minimum **8.33%** or Rs 100; maximum **20%**; paid within **8 months** Wages Code ss.26, 39(1). Claims go to an authority within **3 years** Wages Code s.45(6). Compounding costs **50%** of the maximum fine Wages Code s.56.

1. The Code at a glance

Minimum Wages Act 1948

Minimum wage and floor wage. Now Wages Code Ch II.

Payment of Wages Act 1936

Mode, time, deductions and fines. Now Wages Code Ch III.

Payment of Bonus Act 1965

Bonus. Now Wages Code Ch IV.

Equal Remuneration Act 1976

Equal pay and no discrimination in recruitment. Now Wages Code ss.3, 4.

Point	Rule
Purpose	The long title says it amends and consolidates the laws relating to wages and bonus.
Size	**69** sections; Wages Code s.69 is "Repeal and savings".
Chapters	**9**: I Preliminary; II Minimum Wages; III Payment of Wages; IV Payment of Bonus; V Advisory Board; VI Payment of Dues, Claims and Audit; VII Inspector-cum-Facilitator; VIII Offences and Penalties; IX Miscellaneous.
Assent	8 August 2019. This is the assent date only, not the date the Code came into force.

Key dates

> **8 Aug 2019** Presidential assent.
>
> **18 Dec 2020** S.O. 4604(E) brings in the Central Advisory Board parts of Wages Code ss.42, 67 and part of Wages Code s.69.
>
> **21 Nov 2025** S.O. 5322(E) brings in the rest of the Code. The four old Acts stand repealed.
>
> **8 May 2026** Code on Wages (Central) Rules 2026, G.S.R. 343(E), in force on publication.
>
> **25 Aug 2026** S.O. 4711(E) fixes the Rs 21,000 bonus eligibility figure and S.O. 4710(E) the Rs 7,000 bonus calculation figure. Both are deemed in force from 21 Nov 2025.

2. Definitions shared by all four Codes

The Wages Code defines these terms in Wages Code s.2. The IR, Social Security and OSH Codes repeat the wages definition. It is the same in substance, not word for word.

Count	Across the four Codes
Old Acts merged	**29**: Wages 4, IR 3, Social Security 9, OSH 13.
Sections	**480**: Wages 69, IR 104, Social Security 164, OSH 143.

Wages

Wages Code s.2(y) Wages

All remuneration in terms of money. It includes **basic pay, dearness allowance and retaining allowance**, if any.

The one-half rule. If payments under clauses (a) to (i) of the exclusion list exceed **one-half** of all remuneration, or another percentage the Central Government notifies, the excess is added back to wages. Gratuity and retrenchment compensation are outside clauses (a) to (i), so they do not count in this test.

In kind. Remuneration in kind, given in place of part or all of the wages, counts as wages up to **15%** of the total wages payable.

The IR Code s.2(zq), the Code on SS s.2(88) and the OSH Code s.2(zzj) carry the same items and the same one-half proviso.

The Minimum Wages Act counted house rent allowance as wages. The Code excludes it, subject to the add-back Wages Code s.2(y)(f) CHANGED

Worked example: the one-half rule

Basic Rs 20,000 plus DA Rs 5,000 is Rs 25,000. Excluded items are Rs 35,000. All remuneration is Rs 60,000, so half is Rs 30,000. The excess of excluded items over half is Rs 5,000, and it is added to wages.

All remuneration: Rs 60,000 (half is Rs 30,000)
Basic + DA: Rs 25,000
Excluded items: Rs 35,000
Excess added back: Rs 5,000
Wages for the Code: Rs 25,000 + Rs 5,000 = Rs 30,000

Employee, worker, employer

Term	Wages Code rule	Other Codes
Employee Wages Code s.2(k)	Any person, other than an apprentice under the Apprentices Act 1961, employed on wages by an establishment for skilled, semi-skilled or unskilled, manual, operational, supervisory, managerial, administrative, technical or clerical work. It includes a person the appropriate Government declares an employee. It excludes members of the Armed Forces of the Union.	Fixed-term employment is not named here. See below.
Worker Wages Code s.2(z)	A person in any industry doing manual, unskilled, skilled, technical, operational, clerical or supervisory work. It excludes a person mainly in a managerial or administrative capacity, and a supervisor drawing above **Rs 15,000** a month or an amount the Central Government notifies. Working journalists and sales promotion employees are included.	IR Code s.2(zr) and OSH Code s.2(zzl): supervisor limit **Rs 18,000** a month (the IR Code adds "or an amount as may be notified"). Both also include working journalists and sales promotion employees.
Employer Wages Code s.2(l)	A person who employs, directly or through any person, one or more employees. It includes the occupier (for a factory), the person with ultimate control and the manager or managing director (otherwise), the contractor, and the legal representative of a deceased employer.	Same idea in each Code.

A manual worker on Rs 40,000 is still a worker, because the limit applies only to supervisory staff. A supervisor on Rs 30,000 is not a worker. Minimum wage and payment of wages use "employee" Wages Code ss.5, 15 to 17, so they cover managerial and supervisory staff too.

Wage limits: which number belongs to what

- **15,000** Rs a month: supervisor limit in "worker", Wages Code s.2(z)
- **18,000** Rs a month: supervisor limit in "worker", IR and OSH Codes. Also the inter-State migrant worker limit in the Social Security and OSH Codes
- **21,000** Rs a month: bonus eligibility figure. Not a "worker" limit
- **24,000** Rs a month: Payment of Wages Act ceiling. Repealed, not a Code figure

Other shared terms

Term	Rule	Status
Appropriate Government Wages Code s.2(d)	The Central Government for an establishment carried on by or under the Central Government, railways, mines, oil field, major ports, air transport service, telecommunication, banking and insurance company, a corporation or authority set up by a Central Act, central public sector undertakings with their subsidiaries, autonomous bodies owned or controlled by the Central Government, and contractors of these. For any other establishment, the State Government.	In force
Fixed-term employment IR Code s.2(o), Code on SS s.2(34)	A written contract for a fixed period. Hours of work, wages, allowances and other benefits are **not less than** those of a permanent employee doing the same or similar work. The Wages Code s.2(k) does not mention it.	In force
Fixed-term gratuity Code on SS s.53	The five-year service rule is not needed when a fixed-term contract ends. Gratuity is paid on a **pro rata** basis. A fixed-term employee is also eligible for benefits in proportion to the period of service, even below the qualifying period Code on SS s.2(34).	In force
Gig worker Code on SS s.2(35)	A person who performs work or takes part in a work arrangement and earns from it outside the traditional employer-employee relationship.	In force
Platform worker Code on SS ss.2(60), 2(61)	A person engaged in or undertaking platform work, which uses an online platform to solve problems or provide services for payment.	In force

Term	Rule	Status
Aggregator Code on SS s.2(2)	A digital intermediary or marketplace for a buyer or user of a service to connect with the seller or service provider.	In force
Inter-State migrant worker Code on SS s.2(41), OSH Code s.2(zf)	A person recruited in one State, directly by the employer or through a contractor, for work in another State, or one who came on his own from one State and got work in another, drawing wages not above **Rs 18,000** a month or a higher amount notified. The Wages Code uses the term only inside contract labour Wages Code s.2(g).	In force
Inspector-cum-Facilitator Wages Code s.2(r)	The Code on SS s.2(37) and the OSH Code s.2(ze) use the same term. Duties are under "Inspector-cum-Facilitator" below.	In force

3. Who is covered

Point	Rule today
Minimum wage	No employer shall pay any **employee** less than the minimum rate the appropriate Government notifies Wages Code s.5. There is no schedule.
Payment of wages	Wages Code ss.15 to 17 apply to every employee as defined in Wages Code s.2(k). There is no monthly wage ceiling.
Government establishments	Chapter III does not apply to Government establishments unless the appropriate Government notifies it Wages Code s.25.
Bonus	Chapter IV applies to an establishment in which **20 or more** persons are employed, or were employed on any day during an accounting year, subject to the exclusions in Wages Code s.41(1) Wages Code s.41(2).

Old coverage tests

Point	Before	Now	
Payment of wages	Employees drawing up to Rs 24,000 a month. S.O. 2806(E) of 28 August 2017 set this figure.	No ceiling Wages Code ss.15 to 17	REMOVED

Point	Before	Now	
Minimum wage	Scheduled employments only	Any employee, no schedule Wages Code s.5	CHANGED
Bonus	20 or more persons. The Government could extend this to a smaller number, not below ten	20 or more Wages Code s.41(2)	SAME

Before the Code, the existing legal protection of minimum wage reached about 40% of the workforce, according to a Lok Sabha reply of 30 July 2019.

4. Minimum wage and floor wage (Chapter II)

Wages Code s.6(6) **How the rate is fixed**

The appropriate Government **shall** primarily take into account the skill of workers (unskilled, skilled, semi-skilled, highly-skilled), or geographical area, or both Wages Code s.6(6)(a). It **may**, in addition, take into account arduousness: temperature or humidity normally difficult to bear, hazardous occupations or processes, underground work Wages Code s.6(6)(b).

The norms of fixation are "such as may be prescribed" Wages Code s.6(6)(c) NEEDS RULES. The Code states no calorie, cloth or housing norm.

Wages Code ss.6(2), 6(3), 12 **Time work and piece work**

A minimum rate may be fixed for time work or for piece work Wages Code s.6(2). For piece workers, the rate must secure a minimum wage on a time-work basis Wages Code s.6(3). Where only a minimum time rate is fixed for piece work, the employer pays at least that time rate Wages Code s.12.

Wages Code s.7(1)(a) **Basic rate plus cost-of-living allowance**

A minimum rate may be a basic rate plus a cost of living allowance, adjusted at intervals the appropriate Government directs, to follow the cost of living index number. The Code sets no frequency.

The Rules fix one: the cost of living allowance and the cash value of concessions on essential commodities are computed once before 1 April and once before 1 October every year, to revise the variable dearness allowance. The base is the Average Consumer Price Index for Industrial Workers published by the Labour Bureau Wages Central Rules r.4.

From proposal to review, and the floor wage

1. **Fix the rate** Wages Code s.8(1)
   The appropriate Government either appoints committees to hold enquiries and recommend, or publishes its proposals by notification and names a date **not less than 2 months** later.
2. **Floor wage first** Wages Code s.9(1)
   The Central Government fixes the floor wage, taking into account the minimum living standards of a worker. Different floor wages may be fixed for different geographical areas.
3. **No rate below it** Wages Code s.9(2)
   Minimum rates fixed by the appropriate Government shall not be less than the floor wage, and an earlier higher rate is not reduced.
4. **Review** Wages Code s.8(4)
   Review or revise "ordinarily at an interval not exceeding five years". The floor wage has the same limit Wages Central Rules r.10(4).

The Central Government **may** obtain the advice of the Central Advisory Board and consult State Governments before fixing the floor wage Wages Code s.9(3). The Rules name "food, clothing, housing and any other factors" for the floor wage and leave the criteria to a Central Government order Wages Central Rules r.3(1), 10(1). They do not repeat consumption norms.

TRAP

"May" and "shall" are different in this chapter. Skill or geographical area is a **shall** Wages Code s.6(6)(a). Arduousness is a **may** Wages Code s.6(6)(b). The Board's advice on the floor wage is also a **may** Wages Code s.9(3).

What the Minimum Wages Act 1948 did

Point	Before	Now	
Method	Committee method and notification method	The same two methods Wages Code s.8(1)	SAME
Review	Not exceeding five years OLD MW Act 1948 s.3(1)(b)	Not exceeding five years Wages Code s.8(4)	SAME
Rate kinds	Minimum time rate, minimum piece rate, guaranteed time rate for piece workers, and overtime rate. Adult 18 and over, adolescent 14 to 18, child under 14.	The Code does not use "adult", "adolescent" or "guaranteed time rate".	REMOVED

Point	Before	Now	
Schedule	Scheduled employments	No schedule	REMOVED

Wage norms and bodies (concepts, unchanged by the Codes)

These are not in the Code text. They come from the 15th Indian Labour Conference (1957), case law and committee reports.

Item	Fact
15th Indian Labour Conference	Set the need-based minimum wage norms in **1957**.
Consumption units	**3** consumption units per earner.
Cloth	**18 yards** per person per year (Supreme Court judgment); **72 yards** per family of four consumption units (Labour Ministry report).
Fuel, lighting, miscellaneous	**20%** of the total minimum wage.
Reptakos Brett case	Workmen v Reptakos Brett and Co Ltd (Supreme Court, 31 October 1991; (1992) 1 SCC 290) added **25%** to the norms for children's education, medical need, recreation, old age and marriage. Some texts spell it "Raptakos"; the judgment spells it "Reptakos".
Dr Aykroyd	His formula is linked to minimum wage fixation. It ties to the food (calorie) norm inside the 15th ILC norms.
Committee on Fair Wages, 1948-49	Three levels of wage: **minimum wage, fair wage and living wage**. The fair wage lies between the minimum and the living wage and depends on capacity to pay.
Satpathy Expert Committee, 2019	Chair: Dr Anoop Satpathy. Recommended a national minimum wage of Rs 375 a day at July 2018 prices, with a method based on a balanced diet of about 2,400 kcal. It is a recommendation, not a notified rate.

5. Payment of wages (Chapter III)

Chapter III does not apply to Government establishments unless the appropriate Government notifies it Wages Code s.25.

Wages Code ss.15, 16 Mode and wage period

Mode. Wages are paid in current coin or currency notes, or by cheque, or by crediting the bank account of the employee, or by the electronic mode. The proviso lets the appropriate Government notify establishments that must pay only by cheque or bank credit. The proviso names cheque and bank credit, not the electronic mode Wages Code s.15.

Wage period. Daily, weekly, fortnightly or monthly. No wage period for any employee is more than **a month** Wages Code s.16.

When wages fall due Wages Code s.17

Wage basis	Due
Daily Wages Code s.17(1)(i)	At the end of the shift
Weekly Wages Code s.17(1)(ii)	On the last working day of the week, that is, before the weekly holiday
Fortnightly Wages Code s.17(1)(iii)	Before the end of the **second day** after the end of the fortnight
Monthly Wages Code s.17(1)(iv)	Before the expiry of the **7th day** of the next month. There is no 10th-day alternative and no head-count test.
On exit Wages Code s.17(2)	Within **2 working days** of removal, dismissal, retrenchment or resignation, or of becoming unemployed because the establishment closed

Wages Code s.18 Deductions

In any wage period, total deductions are at most **50%** of the wages Wages Code s.18(3). The Code has no separate higher limit for dues to a co-operative society. The excess may be recovered in the manner prescribed Wages Code s.18(4) NEEDS RULES Wages Central Rules r.13.

Permitted purposes Wages Code s.18(2) include amenities and services supplied by the employer (e), recovery of advances (f)(i), and payment to a co-operative society on the Government's conditions (j).

OLD PW Act 1936 s.7(3) 50% of wages, or 75% where deductions include payments to a co-operative society CHANGED

Wages Code s.19 Fines

A fine is at most **3%** of the wages payable for that wage period Wages Code s.19(4). No fine on an employee under **15** years Wages Code s.19(5). A fine is not recovered by instalments, and not after **90 days** from the day it was imposed Wages Code s.19(6).

Fines and realisations are recorded in a register and applied only to purposes beneficial to the persons employed, as the prescribed authority approves Wages Code s.19(8).

OLD PW Act 1936 s.8(4) 3% of wages SAME

Wages Code ss.13, 14 Overtime, hours and rest

Overtime is paid for every hour or part of an hour worked beyond the normal working day, at not less than **twice** the normal rate of wages Wages Code s.14.

The Code only lets the Government fix the hours Wages Code s.13(1)(a). The Rules fix them: a daily-wage employee has a normal working day of **8 hours**; for other wage periods the total weekly hours are not above **48** Wages Central Rules r.5.

The appropriate Government **may** provide a day of rest in every period of seven days Wages Code s.13(1)(b). The Rules provide one rest day in every week, ordinarily Sunday Wages Central Rules r.6.

Under Wages Central Rules r.3(2) the daily rate is divided by 8 for the hourly rate and **multiplied** by 26 for the monthly rate.

Payment of Wages Act 1936: what changed

Point	Before	Now	
Wage period	At most one month OLD PW Act 1936 s.4	At most one month Wages Code s.16	SAME
Monthly due date	7th day where fewer than 1,000 persons are employed; otherwise the 10th day OLD PW Act 1936 s.5	7th day for all. No head-count test Wages Code s.17(1)(iv)	CHANGED
Deduction cap	50%, or 75% with co-operative society dues OLD PW Act 1936 s.7(3)	50% only Wages Code s.18(3)	CHANGED
Fines	3% OLD PW Act 1936 s.8(4)	3% Wages Code s.19(4)	SAME
Permitted deductions	Amenities (e), advances (f), co-operative society (j) OLD PW Act 1936 s.7(2)	All three kept Wages Code s.18(2)	SAME

Point	Before	Now	
Coverage	Ceiling of Rs 24,000 a month	No ceiling	REMOVED

6. Payment of bonus (Chapter IV)

Wages Code s.26(1) Eligibility and minimum bonus

Bonus is paid to every employee drawing wages not above an amount per month fixed by notification, who has worked at least **30 days** in an accounting year. The Code gives no rupee figure. S.O. 4711(E) of 25 August 2026 fixes **Rs 21,000** a month, deemed in force from 21 November 2025.

The minimum bonus is **8.33%** of the wages earned, or **Rs 100**, whichever is higher. It is payable whether or not there is any allocable surplus in the previous accounting year.

OLD Bonus Act 1965 s.2(13) Rs 21,000, as raised by the Payment of Bonus (Amendment) Act 2015 from the accounting year starting 1 April 2014. OLD Bonus Act 1965 s.10 8.33% or Rs 100 CHANGED

Wages Code s.26(2) Calculation base

Where the wages exceed the notified amount, bonus is calculated as if the wage were the notified amount or the minimum wage fixed by the appropriate Government, **whichever is higher**. The Code names no figure. S.O. 4710(E) of 25 August 2026 notifies **Rs 7,000** a month, deemed in force from 21 November 2025.

OLD Bonus Act 1965 s.12 Rs 7,000 or the minimum wage for the scheduled employment, whichever is higher CHANGED

Worked example: the calculation base

The minimum wage fixed for an employee is Rs 9,000. That is above Rs 7,000, so the base is Rs 9,000. Rs 9,000 x 12 = Rs 1,08,000. At 8.33%, the bonus is about **Rs 8,996**.

Notified amount: Rs 7,000

Minimum wage fixed: Rs 9,000, the higher, so this is the base

Wages Code s.26(3) Maximum bonus

Where the allocable surplus exceeds the minimum bonus, bonus is in proportion to the wages earned, up to a maximum of **20%** of those wages.

OLD Bonus Act 1965 s.11 maximum 20% SAME

Wages Code s.26(6) **New establishments**

In the first **5** accounting years after the employer first sells goods or renders services, bonus is payable only for a year in which the employer makes a profit.

Wages Code s.36 **Set-on and set-off**

Surplus above the 20% maximum (set on) and a shortfall in the minimum bonus (set off) are carried forward up to and including the **fourth** accounting year.

Wages Code s.39(1) **Time of payment**

By crediting the employee's bank account within **8 months** from the close of the accounting year. The appropriate Government may extend the period for sufficient reasons, and the total extension cannot exceed **2 years**.

OLD Bonus Act 1965 s.19 8 months SAME

Wages Code s.29 **Disqualification**

An employee is disqualified if dismissed for: **fraud**; **riotous or violent behaviour** on the premises; **theft, misappropriation or sabotage** of the establishment's property; or **conviction for sexual harassment**.

OLD Bonus Act 1965 s.9 three grounds: fraud; riotous or violent behaviour; theft, misappropriation or sabotage. The Code adds sexual harassment as the fourth CHANGED

Bonus numbers that look alike

Number	What it is
30 days	Minimum work in the accounting year
8.33% or Rs 100	Minimum bonus
20%	Maximum bonus
20 persons	Coverage
Rs 21,000	Eligibility figure, notified
Rs 7,000	Calculation base, notified. Also the old Act's figure under OLD Bonus Act 1965 s.12
8 months	Payment time; extension up to 2 years in total

Number	What it is
4th accounting year	Last year for set-on and set-off
5 accounting years	New-establishment rule

7. Equality, boards, claims, inspection and penalties

Equal remuneration

Wages Code s.3(1) **Equal pay**

No discrimination in an establishment among employees on the ground of **gender** in matters relating to wages by the same employer, for the same work or work of a similar nature.

OLD ER Act 1976 s.4 equal remuneration for the same work or work of a similar nature SAME

Wages Code s.3(2) **Recruitment and conditions**

The employer shall not reduce the wage rate of any employee to comply with Wages Code s.3(1). The employer shall not discriminate on the ground of **sex** while recruiting for the same or similar work, or in the conditions of employment. The exception: where the law prohibits or restricts the employment of women in such work.

OLD ER Act 1976 s.5 no sex discrimination in recruitment, with the same exception SAME

Wages Code ss.2(v), 4 **Same work, and disputes**

"Same work or work of a similar nature" means work for which the skill, effort, experience and responsibility required are the same, under similar working conditions. Any differences between employees of any gender are not of practical importance Wages Code s.2(v). A dispute on whether work is of the same or a similar nature is decided by the authority the appropriate Government notifies Wages Code s.4.

The Equal Remuneration Act rested on Constitution Art 39(d).

Advisory Boards Wages Code s.42

Board	Rule	In force from
Central Advisory Board Wages Code s.42(1)	Members nominated by the Central Government: representatives of employers; an **equal number** of representatives of employees; independent persons, not more than **one-third** of the total; and **five** representatives of State Governments.	18 Dec 2020 (S.O. 4604(E))
Central Advisory Board Wages Code s.42(2)	**One-third** of the members are women. One of the independent members is appointed by the Central Government as Chairperson.	18 Dec 2020
State Advisory Board Wages Code ss.42(4), 42(6), 42(7)	Each State Government constitutes one: employers, an equal number of employees, and independent persons not above one-third. One-third of the members are women. The State Government appoints one independent member as Chairperson.	21 Nov 2025 (S.O. 5322(E))

Before the Code, the Chairman of the Central Advisory Board was appointed from the independent members under the Minimum Wages Act. The Code says "Chairperson". The Equal Remuneration Act had an Advisory Committee OLD ER Act 1976 s.6, which the Code's Advisory Boards replace.

Claims and appeals

1. **Claim** Wages Code s.45(1)
   The appropriate Government appoints by notification one or more authorities, not below the rank of a Gazetted Officer, to hear and determine claims.
2. **File within 3 years** Wages Code s.45(6)
   From the date the claim arises. The authority may take it later on sufficient cause.
3. **Decision** Wages Code s.45(2)
   In addition to the claim, the authority may award up to **10 times** the claim determined as compensation. It and the appellate authority shall endeavour to decide within **3 months** Wages Code s.49(3). "Endeavour" is a duty to try, not a fixed limit.
4. **Appeal within 90 days** Wages Code s.49
   To an appellate authority, which is an officer at least one rank higher Wages Code s.49(2). Later on sufficient cause.

Point	Before	Now	
Claim period	6 months (Minimum Wages Act); 12 months (Payment of Wages Act)	**3 years** Wages Code s.45(6)	CHANGED

Inspector-cum-Facilitator

Wages Code s.51 — Role and inspection scheme

The appropriate Government appoints Inspector-cum-Facilitators. They may advise employers and workers on compliance and inspect the establishments assigned to them Wages Code s.51(5). The old Acts used the word "Inspector".

The appropriate Government **may** lay down an inspection scheme by notification. It may include a web-based inspection and electronic calling of information, and it may give the officer jurisdiction for randomised selection of inspection Wages Code ss.51(2), 51(3).

Before prosecution, does the employer get a chance to comply? Wages Code s.54(3)

First offence under Wages Code s.54(1)(c) or Wages Code s.54(2)

The officer gives a written direction with a time to comply. If the employer complies, no prosecution starts.

Same kind of violation repeated within 5 years

No such chance is given. Paying less than due Wages Code s.54(1)(a) never gets the chance.

Registers, records and returns

Source	Rule
Code Wages Code s.50(1)	Every employer maintains a register with details of persons employed, muster roll, wages and other prescribed details. The Code fixes no retention period.
Wages Central Rules r.51(1)	Three registers, kept electronically or in physical form: Employee Register (Form I); Register of Wages, Overtime, Advances, Fines and Deductions for Damage and Loss (Form IV); Attendance Register-cum-Muster Roll (Form IX).
Wages Central Rules r.51(4)	Registers are kept for **5 years** after the date of the last entry.
Wages Central Rules r.48	Returns are filed electronically by every employer, in the Forms under the OSH Code 2020.

Offences and penalties Wages Code s.54

Section	Offence	Punishment
Wages Code s.54(1)(a)	Pays an employee less than the amount due under the Code	Fine up to **Rs 50,000**
Wages Code s.54(1)(b)	Repeat of (a) within 5 years, on the second and later offence	Imprisonment up to **3 months**, or fine up to **Rs 1 lakh**, or both
Wages Code s.54(1)(c)	Contravenes any other provision of the Code, a rule or an order	Fine up to **Rs 20,000**
Wages Code s.54(1)(d)	Repeat of (c) within 5 years	Imprisonment up to **1 month**, or fine up to **Rs 40,000**, or both
Wages Code s.54(2)	Non-maintenance or improper maintenance of records	Fine up to **Rs 10,000**

Record-keeping lapses are not decriminalised: the fine stays, and a written direction comes first Wages Code s.54(3). The Minimum Wages Act penalty was imprisonment up to 6 months or a fine up to Rs 500. That is the Central text; State amendments exist.

Compounding Wages Code s.56

On the accused's application, a notified Gazetted Officer may compound an offence for **50%** of the maximum fine for that offence. Offences punishable with imprisonment only, or with imprisonment and also with fine, are excluded. No compounding for an offence committed a second time or later within 5 years of a similar offence that was earlier compounded or that led to conviction Wages Code s.56(2).

- Maximum fine Rs 50,000 Wages Code s.54(1)(a): compound for Rs 25,000
- Maximum fine Rs 20,000 Wages Code s.54(1)(c): compound for Rs 10,000
- Maximum fine Rs 10,000 Wages Code s.54(2): compound for Rs 5,000

TRAP

Three different 50% figures. One is the add-back test in the wages definition Wages Code s.2(y). One is the cap on total deductions Wages Code s.18(3). One is the share of the maximum fine paid to compound Wages Code s.56.

What changed

Point	Before	Now	
Wage ceiling	Payment of Wages Act covered up to Rs 24,000 a month	No ceiling Wages Code ss.15 to 17	REMOVED
Schedule	Minimum Wages Act: scheduled employments only	Any employee Wages Code s.5	REMOVED
Monthly due date	7th day (under 1,000 persons) or 10th day	7th day for all Wages Code s.17(1)(iv)	CHANGED
Deduction cap	50%, or 75% with co-operative dues	50% only Wages Code s.18(3)	CHANGED
Fines	3%	3% Wages Code s.19(4)	SAME
Bonus coverage	20 or more persons	20 or more Wages Code s.41(2)	SAME
Bonus eligibility	Rs 21,000 fixed in the Act	Set by notification; the figure is Rs 21,000 Wages Code s.26(1)	CHANGED
Bonus base	Rs 7,000 or the minimum wage for the scheduled employment	The notified amount (Rs 7,000) or the minimum wage fixed, whichever is higher Wages Code s.26(2)	CHANGED
Disqualification	3 grounds	4 grounds Wages Code s.29	CHANGED
Claim period	6 months or 12 months	3 years Wages Code s.45(6)	CHANGED
Enforcing officer	Inspector	Inspector-cum-Facilitator Wages Code s.51(5)	CHANGED
Equal pay advice body	Advisory Committee OLD ER Act 1976 s.6	Advisory Boards Wages Code s.42	CHANGED
Review of minimum wages	Not above 5 years	Not above 5 years Wages Code s.8(4)	SAME

Numbers on one scale

Time limits: days

- **2** working days: wages due on exit Wages Code s.17(2)
- **7th** day of the next month: monthly wages due before it expires Wages Code s.17(1)(iv)
- **30** days worked in the year: bonus eligibility Wages Code s.26(1)
- **90** days: fine recovery bar Wages Code s.19(6); appeal period Wages Code s.49

Time limits: months

- **1** month: longest wage period Wages Code s.16
- **2** months: shortest notice before fixing rates Wages Code s.8(1)
- **3** months: claim and appeal to be decided Wages Code s.45(2), Wages Code s.49(3)
- **8** months: bonus payment time Wages Code s.39(1)

Time limits: years

- **2** years: longest total extension for bonus payment Wages Code s.39(1)
- **3** years: claim period Wages Code s.45(6)
- **4th** accounting year: last year for set-on and set-off Wages Code s.36
- **5** years: review of minimum wages Wages Code s.8(4); repeat-offence window Wages Code s.54; registers kept Wages Central Rules r.51(4); also the first 5 accounting years for new establishments Wages Code s.26(6)

Shares

- **3%** maximum fine Wages Code s.19(4)
- **8.33%** minimum bonus Wages Code s.26(1)
- **15%** pay in kind counted as wages Wages Code s.2(y)
- **20%** maximum bonus Wages Code s.26(3)
- **50%** add-back test Wages Code s.2(y); deductions cap Wages Code s.18(3); compounding Wages Code s.56

Money: fines in rupees

- **10,000** record-keeping lapse Wages Code s.54(2)
- **20,000** other contravention Wages Code s.54(1)(c)
- **40,000** repeat of that, or 1 month in jail Wages Code s.54(1)(d)
- **50,000** paying less than due Wages Code s.54(1)(a)
- **1 lakh** repeat of that, or 3 months in jail Wages Code s.54(1)(b)

Quick revision

Acts merged / sections / chapters	4 / 69 / 9
In force	21 Nov 2025 (S.O. 5322(E)); Board parts 18 Dec 2020
Wages	Basic + DA + retaining allowance Wages Code s.2(y)
Items counted as wages beyond one-half	The excess of clauses (a) to (i) is added back
Worker supervisor limit	Rs 15,000 (Wages Code); Rs 18,000 (IR and OSH Codes)
Minimum wage covers	Any employee Wages Code s.5
Skill categories	Unskilled, skilled, semi-skilled, highly-skilled
Arduousness	"May" Wages Code s.6(6)(b)
Notice for proposals	Not less than 2 months Wages Code s.8(1)
Review interval	Ordinarily not above 5 years Wages Code s.8(4)
Floor wage	Fixed by the Central Government Wages Code s.9(1) ; minimum rates not below it Wages Code s.9(2)
DA revision dates	Before 1 April and before 1 October Wages Central Rules r.4
15th ILC	1957; 3 consumption units; 20% fuel, lighting and miscellaneous
Wage period maximum	1 month Wages Code s.16

Monthly wage due	Before the expiry of the 7th day Wages Code s.17(1)(iv)
Wages on exit	Within 2 working days Wages Code s.17(2)
Deductions / fines	50% Wages Code s.18(3) / 3% Wages Code s.19(4); no fine under 15; recover within 90 days
Overtime	At least 2 times Wages Code s.14; 8 hours a day, 48 a week Wages Central Rules r.5
Bonus	30 days; 8.33% or Rs 100; max 20%; 8 months
Bonus figures	Rs 21,000 eligibility (S.O. 4711(E)); Rs 7,000 base (S.O. 4710(E))
Bonus disqualification	4 grounds, including conviction for sexual harassment
Equal pay	Wages Code s.3: gender; same work or work of a similar nature
Women on Advisory Boards	One-third
Claims	Within 3 years; up to 10 times compensation; appeal within 90 days
Officer who advises and inspects	Inspector-cum-Facilitator
Registers kept	5 years after the last entry Wages Central Rules r.51(4)
Compounding	50% of the maximum fine Wages Code s.56

Test yourself

1. Which four Acts did the Code on Wages repeal, and from what date is the Code in force?
2. Under the Code, what counts as "wages", and what happens when excluded items pass one-half of all remuneration?
3. Who is covered by minimum wage under the Code? What happened to the old schedule of employments?
4. By which day of the next month must monthly wages be paid? Does the number of persons employed change this?
5. What are the maximum shares for deductions and for fines?

6. An employee's minimum wage is Rs 9,000 and the notified amount is Rs 7,000. On what wage is bonus worked out?
7. Within what time must a wage claim be filed, and what is the longest compensation the authority may add?
8. Name the supervisor wage limit in "worker" under the Wages Code and under the IR and OSH Codes.

Answers

1. The Payment of Wages Act 1936, the Minimum Wages Act 1948, the Payment of Bonus Act 1965 and the Equal Remuneration Act 1976 **Wages Code s.69(1)**. In force from 21 November 2025, except the Central Advisory Board parts from 18 December 2020.
2. Basic pay, dearness allowance and retaining allowance, if any **Wages Code s.2(y)**. The excess of clauses (a) to (i) over one-half of all remuneration is added back to wages.
3. Any employee **Wages Code s.5**. The Code has no schedule.
4. Before the expiry of the 7th day **Wages Code s.17(1)(iv)**. No: the old head-count test (7th or 10th day) is gone.
5. 50% of the wages for deductions **Wages Code s.18(3)**; 3% of the wages for fines **Wages Code s.19(4)**.
6. Rs 9,000, the higher of the two **Wages Code s.26(2)**. The yearly figure is Rs 1,08,000 and the bonus at 8.33% is about Rs 8,996.
7. Within 3 years **Wages Code s.45(6)**; compensation up to 10 times the claim **Wages Code s.45(2)**.
8. Rs 15,000 a month under the **Wages Code s.2(z)**; Rs 18,000 under the **IR Code s.2(zr)** and the **OSH Code s.2(zzl)**.